

related to travel and banking functions. This changed and people started buying products of relatively low value across a range of categories such as home décor, gifts, books and flowers. As credit card penetration increased and a larger sector of people became comfortable with transacting online, e-commerce shops started offering fashion & lifestyle products as well as high value items such as electronics.

How have things changed you ask?

For a start, customers started spending more time on the Internet and became more aware of the wide range of products available on the world wide web, which simply did not compare to the local kirana store or neighbourhood mall. As virtual social networks grew in popularity, online stores introduced the ability for existing buyers to review products they have bought thereby adding the validity of 'friend' recommendations that physical purchases used to thrive on. Sites have gone from having a single product image to having multiple high-resolution images with some even offering product videos and try and buy options.

Websites also went one step further and started offering huge discounts on products offered at physical retail stores, thereby passing the benefit gained from economies of scale to the end consumer. While this strategy has definitely led to growth, whether it has led to long-term profitability is yet to be determined as what started of as an incentive to grab customers has created a culture where customers

go shopping for discounts from one online store to the other. In fact, several start-ups are now making money by recommending customers the cheapest site that they can purchase their products from.

Another recent advancement has been the advent of 'deal' websites. These special sites such as Snapdeal and Crazeal have changed the way Indian customers shop both online and offline by offering huge discounts on a wide variety of products and services for limited periods of time. Such

